

Highlights

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Sheltered Bidding: The Within-Auction Cost of SME Set-Asides

- SME-only set-aside imposes R\$ 55 M (US\$ 16 M) per year in welfare loss on São Paulo's medical-supplies procurement at the observed 43% adherence rate—R\$ 38–89 M across the realistic adherence range of 30–70%.
- Roughly two-thirds to three-quarters of the cost is sheltered bidding within the auction, not entry-margin reshuffling.
- Endogenous SME entry is a partial offset that attenuates a 59% larger latent within-auction shock in non-pharma and a 81% larger one in pharma.
- DiD against 76 never-treated controls: 10–11% rise in winning prices; SME participation roughly doubles.
- A 10% SME price preference welfare-dominates the set-aside in thick standardized markets at near-zero fiscal cost.
- The *empate ficto* right-to-match (LC 123/2006 arts. 44–45) operative in current Brazilian law sits below the price preference on both distributive and welfare margins: ~ 1.0 – 1.9 pp SME win-rate gain at essentially zero welfare cost.